

Retail Research	IPO Note
Sector: BFSI - Fintech	Price Band (Rs): 156 - 164
15 th September 2023	Recommendation: Subscribe for long term Horizon

Zaggle Prepaid Ocean Services Limited

Company Overview:

Zaggle is a leading player in spend management, with more than 50 million prepaid cards issued in partnership with banking partners and more than 2.27 million users served, as of March'23. The company has one of the largest numbers of issued prepaid cards in India in partnership with certain banking partners (which constituted approximately 16.0% of India's total prepaid transaction volume, as of March'23). The company has a diversified portfolio of SaaS, including tax and payroll software and a wide touchpoint reach.

Key Highlights:

Marquee Customer Base: The company is sector-agnostic and has a network of corporate customers that covers the banking and finance, technology, healthcare, manufacturing, FMCG, infrastructure and automobile industries among others. It has relationships with brands such as Tata Steel, Persistent Systems, Vitech, Inox, Pitney Bowes, Wockhardt, Mazda, PCBL (RP – Sanjiv Goenka Group), Hiranandani group, Cotiviti and Greenply Industries.

Core Product Portfolio: **1) Propel**, a corporate SaaS platform for channel rewards and incentives, employee rewards and recognition. **2) Save**, a SaaS-based platform and a mobile application to offer expense management solution. **3) CEMS**, a customer engagement management system empowers merchants to oversee customer experiences offering rewards like gift cards and loyalty benefits. **4) Zaggle Payroll Card**, a prepaid solution for paying contractors, consultants, seasonal/temporary employees, and unbanked workers, eliminating the need for traditional bank deposits or cash payments. **5) Zoyer**, an integrated data-driven, SaaS based business spend management platform with embedded automated finance capabilities in core invoice to pay workflows.

Transaction Fees and Charges: The company charges platform, SaaS, and service fees to its customers. Subscription fees made up 4.38%, 4.48%, and 5.39% of the revenue in FY23, FY22, and FY21 respectively. The company also earns from 'Propel Points.' Program Fees, a big part of the revenue, mainly comes from interchange fees that the banking partners earn when the prepaid card users make purchases. The company also earns from merchant commissions and VAS sales.

Valuation:

At upper price band, the company is valued at a PE multiple of 87.4x FY23 earnings on post-issue capital. The company doesn't have any listed peer in India. Looking at the weak cash flows, subdued margins and low return ratios, the valuations are slightly expensive. However, being a unique business, it may command a scarcity premium, and hence long-term investors may subscribe to the issue. Listing gain however is likely to remain tepid.

Issue Details	
Date of Opening	14 th September 23
Date of Closing	18 th September 23
Price Band (Rs)	156 – 164
Issue Size (Rs cr)	555 – 564
No. of shares	3,55,78,021 – 3,44,02,255
Face Value (Rs)	1
Post Issue Market Cap (Rs cr)	1,923 – 2,002
BRLMs	ICICI Securities, Equirus Capital, IIFL Securities, JM Financial
Registrar	KFin Technologies Limited
Bid Lot	90 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB (HNI) shares	15%

Objects of Issue	
	(Rs Cr.)
Gross proceeds of the Fresh Issue*	392.0
Less: Offer Expenses in relation to the Fresh Issue**	-
Net Proceeds*	-

* After adjusting for the Pre-IPO Proceeds, the funds from which will be fully utilised toward general corporate purposes.

** To be finalised upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	5,68,65,000	57.9
Public & Others	4,13,29,319	42.1
Total	9,81,94,319	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	5,38,05,646	43.6
Public & Others	6,95,16,878	56.4
Total	12,33,22,524	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	5,38,05,646	44.1
Public & Others	6,82,91,112	55.9
Total	12,20,96,758	100.0

Source: RHP, SSL Research

Risk factors

- The company's recent revenue growth rates may not be indicative of the future financial performance. The company has limited operating history. Failure to effectively manage the growth could materially and adversely affect the success of the business and impact the margins and profitability.
- The company may be unable to retain existing customers, attract new customers, convert customers using the beta or trial versions into paying customers, or expand usage of the products within or across customer organizations due to various factors.
- Any termination of, or failure to maintain, the relationships with the banking partners, including the preferred banking partners, or any changes to interchange fees due to a variety of factors, could adversely affect the business, results of operations and financial condition.
- The company is dependent on third-party payment networks, channel partners and third-party providers for various aspects of the business and growth and any failure to maintain these relationships could adversely affect the business, results of operations and financial condition.

Growth strategy

- Continue to increase the customer base of corporate accounts, SMB accounts, start-ups and merchants.
- Continue to innovate to introduce new products and use cases.
- Continue to scale and expand by increasing user penetration, cross-selling and up-selling within the existing customer base.
- Leverage strategic partnerships with financial institutions and merchants.
- Pursue selective strategic acquisitions and investments to grow business.

Key Operational Performance Indicators

S. No.	Metric	Unit	FY21	FY22	FY23
1.	Platform fee / SaaS fee / Service fee ⁽¹⁾	Rs mn	129.2	166.3	242.3
2.	Program Fees ⁽²⁾	Rs mn	1,954.9	2,007.0	1,694.5
3.	Propel platform revenue/gift cards ⁽³⁾	Rs mn	315.5	1,539.2	3,597.8
4.	Total Customers catered to	#	1,092	1,753	2,411
5.	Aggregate Users on the platform ⁽⁴⁾	#	9,04,713	17,23,350	22,74,138
6.	Average Users per account ⁽⁵⁾	#	828	983	943
7.	Customer Acquisition and Retention Cost ⁽⁶⁾	Rs mn	136.2	185.8	327.4
8.	Acquisition and Retention Cost per Customer ⁽⁷⁾	Rs mn	0.2	0.3	0.5
9.	Cash back expense per Rs 1 earned from revenue from op ⁽⁸⁾	Rs	0.6	0.3	0.2
10.	Churn ⁽⁹⁾	%	1.2	0.4	1.5
11.	Average revenue per customer	Rs mn	2.2	2.1	2.3
12.	Number of new Customers added during the year	#	670	665	685

Source: RHP, SSL Research

(1). Platform fee / SaaS fee / Service fee refers to all fee income received by the company from the customers, including the fixed monthly subscription fees paid by the customers on a per User basis and any one-time setup fees and any other fees that may be levied from time to time by the company to the customers.

(2). Program fees refers to the sum of (i) interchange fees (including residual income) earned on the spend that the customers of the company's corporate customer employees and channel partners make on the cards and excludes amounts collected on behalf of its Preferred Banking Partners; and (ii) any other income which the company receives from its Preferred Banking Partners and third-party payment networks such as Visa; and (iii) inactivity fees which is earned on the balance amount left on the cards.

(3). Propel platform revenue/gift cards refers to revenue which is received from the customers for issuing reward points (Propel points) to customers' employees and channel partners.

(4). Aggregate Users on the platform refers to the total number of Users served by our Company as of date.

(5). Average Users per account refers to the total number of Users divided by total number of Customers.

(6). Customer Acquisition and Retention Cost refers to digital marketing campaign costs, business promotion costs, feet on the street (FOS) and strategic partnership team salaries costs and other advertisement and marketing costs incurred for all the new customers added in the business in the period.

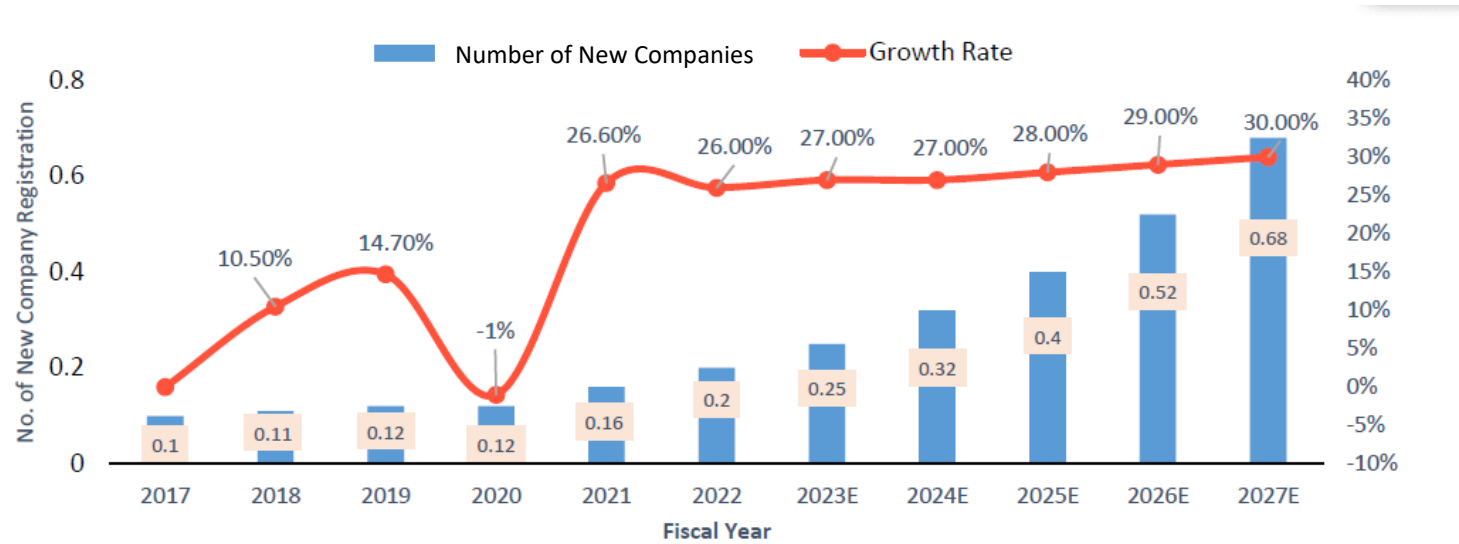
(7). Acquisition and Retention Cost per Customer is calculated as customer acquisition and retention cost divided by the number of new Customers added during the period.

(8). Cash back expense per ₹1 earned from revenue from operations is calculated as revenue from operations divided by expenses towards incentives and cash back.

(9). Churn refers to corporates and SMB customers discontinuing their subscription and other services on the company's platform.

Industry Overview

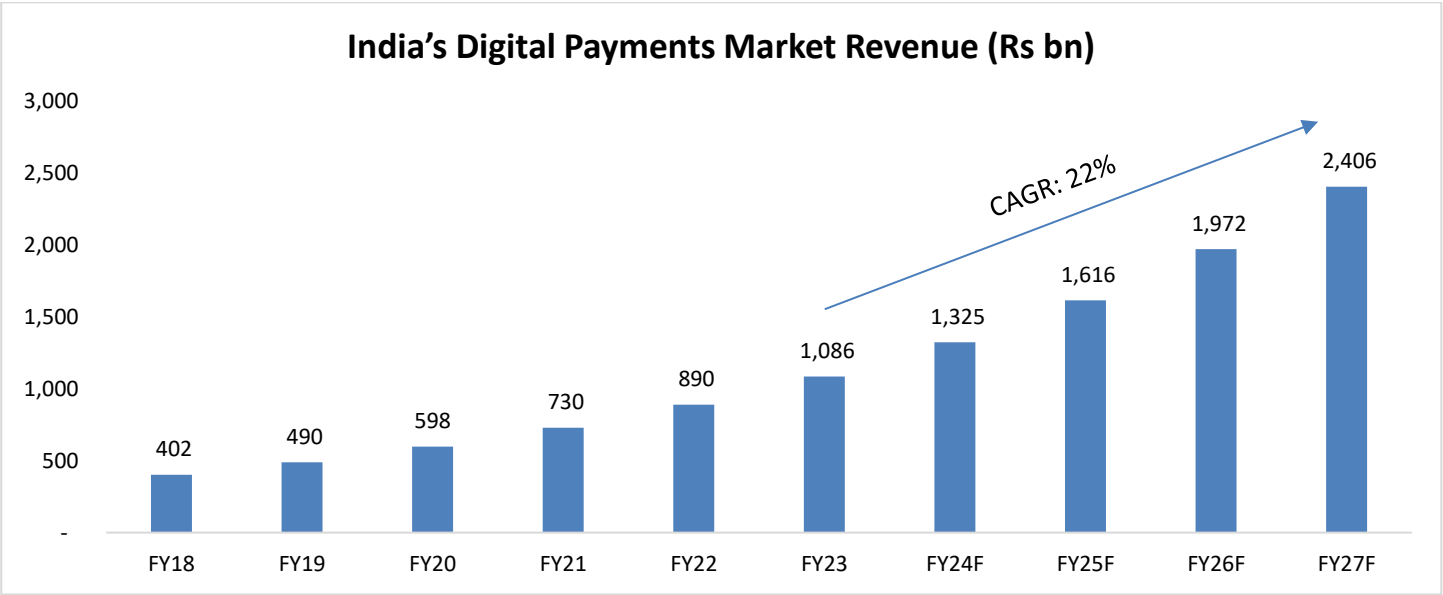
Number of New Company Registrations in India



Source: RHP, SSL Research

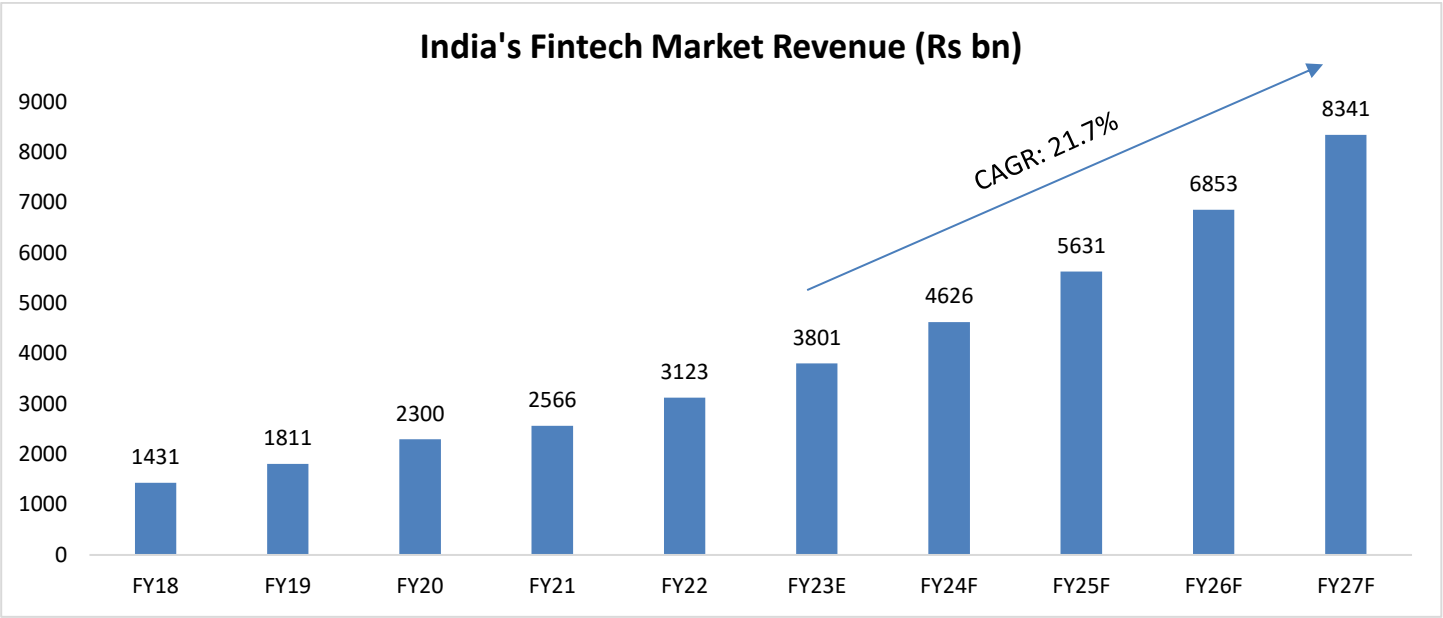
India’s Digital Payments Market Revenue

The digital payment market is expected to grow at a CAGR of approximately 22% from FY23 to FY27, boosted by digital currency and supporting technologies such as AI and ML. Digital transactions increased to 99% of non-cash retail purchases during the pandemic in FY23 from 97.0% in FY20 with credit transfers being the most popular method.



Source: RHP, SSL Research

India's Fintech Market Revenue



Source: RHP, SSL Research

Financial Snapshot

Zaggle Prepaid Ocean Services Limited			
(Rs. Cr.)	Pre-Issue	Post Issue	
	FY22	FY23	
Particulars		Price Band	
	156.0	156.0	164.0
Net Sales	371.3	553.5	553.5
Total Income	371.7	554.6	554.6
EBIDTA	59.9	48.1	48.1
PAT	41.9	22.9	22.9
Equity Share Capital	0.2	12.3	12.2
No of Equity Shares	0.2	12.3	12.2
Face Value	1.0	1.0	1.0
EPS	232.9	1.9	1.9
CMP	156.0	156.0	164.0
Cash and Bank	3.6	414.6	414.6
Debt	64.5	121.1	121.1
Market Cap	28.1	1,923.8	2,002.4
BV per share (Rs)	-19.8	35.7	36.1
PE(x)	0.7	84.0	87.4
P/BV (x)	-	4.4	4.5
Enterprise Value	88.9	1,630.3	1,708.9
Mcap/Sales (x)	0.1	3.5	3.6
EV/Sales (x)	0.2	2.9	3.1
EV/EBIDTA (x)	1.5	33.9	35.5
EBITDA Margins (%)	16.1	8.7	8.7
Net Margins (%)	11.3	4.1	4.1
ROE (%)	-	10.5	10.5
ROCE (%)	137.8	13.8	13.8
Debt/Equity	-	0.3	0.3
Net worth	-3.6	440.8	440.8

Source: RHP, SSL Research (Post Issue)

	FY21	FY22	FY23
Net Sales	240.0	371.3	553.5
EBITDA	27.6	59.9	48.1
Net Profit	19.3	41.9	22.9
EBITDA Margin (%)	11.5	16.1	8.7
Net Profit Margin (%)	8.1	11.3	4.1

Source: RHP, SSL Research

	FY21	FY22	FY23
Debtor's days	34	42	68
Inventory days	3	0	0
Creditor's days	38	23	18
Working Capital Days	-1	19	50

Source: RHP, SSL Research

	FY21	FY22	FY23
Cash flow from Operating Activities	3.4	20.1	-15.7
Cash flow from Investing Activities	-1.0	-9.9	-24.3
Cash flow from Financing Activities	-5.7	-12.3	58.8
Free Cash Flow	2.4	12.5	-31.9

Source: RHP, SSL Research

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